#7 · 4.5% of marks

Ind AS 20 — Government Grants

Recognise when **reasonably assured**; match to the **costs it compensates**; never straight to equity.

1 Recognition 7 - 9

→ *Recognise only when **reasonable assurance** that (a) entity **will comply** with conditions, and (b) grant **will be received** 7*

→ ***Receipt alone** is **not** evidence that conditions have been / will be met 8*

→ *Recognise in **P&L on a systematic basis** over periods in which related costs are expensed — **never directly to equity / capital reserve** (income approach) 12*

⚠ TRAP

*Old AS 12 let **promoter's contribution**-type grants go to **capital reserve**. Ind AS 20: **all** grants go through **P&L** (as income or reduced expense / depreciation). Government acting as **owner** → equity contribution, not a grant.*

2 Matching — which period? 16 - 22

Grant for…	Recognise in P&L
Depreciable asset	Over useful life, in proportion to **depreciation**
Non-depreciable asset (land) with conditions (e.g., build a factory)	Over periods bearing the **cost of meeting the obligation** — e.g., life of the **building** 18
Non-depreciable asset, **no** further conditions	When conditions met / receivable
Package of conditions	Identify which costs each part compensates 19
Expenses already incurred / immediate support, no future costs	**P&L when receivable** 20
Forgivable loan	Grant when **reasonable assurance** of forgiveness 10

3 Below-market interest loan 10A

*Loan recognised at **FV under Ind AS 109** (PV at market rate).*

***Grant = proceeds received − initial Ind AS 109 carrying amount** → deferred income, released per the costs it compensates.*

Interest at market rate → finance cost via EIR.

NUMERICAL

4 Presentation 23 - 31

Grant type	Option A	Option B
Related to assets 24	***Deferred income*** — *released to P&L over life*	***Deduct from carrying amount*** — *lower depreciation*
Related to income 29	*Separate credit* / ***other income***	***Deduct from related expense***
Non-monetary *(land, resources)* 23	***Fair value***	***Nominal amount***

Cash flow statement: purchase of asset and receipt of grant shown ***separately****, whichever presentation is used* 28.

5 Repayment of a grant 32

Treated as a ***change in accounting estimate*** *(Ind AS 8) —* ***not*** *a prior-period error.*

Grant type	Repayment treatment
Income-related	*First against any* ***unamortised deferred credit****; excess →* ***P&L immediately***
Asset-related	***Increase asset*** *carrying amount or* ***reduce deferred income****;* ***cumulative extra depreciation*** *that would have been charged without the grant →* ***P&L immediately***

Example

Machine ₹100 L, life 5 yrs, grant ₹20 L (deducted from cost). After 2 yrs grant repaid.

Carrying amount now 80 × 3/5 = ₹48 L → add back ₹20 L → ₹68 L.

Depreciation without grant for 2 yrs = 40; actually charged = 32 → ***extra ₹8 L to P&L now****.*

New carrying amount ₹60 L (= 100 × 3/5) depreciated over remaining 3 yrs.

⚠ TRAP

Repayment may also signal ***impairment*** *of the asset — test under Ind AS 36* 33.

⑥ Scope — what is NOT Ind AS 20

- → **Government assistance** that can't be valued (free technical advice, guarantees) → disclose only 34 - 38
- → **Income-tax benefits** — tax holidays, investment tax credits, accelerated allowances → Ind AS 12
- → **Government as owner** (equity infusion) → equity
- → Grants on **biological assets at FV less costs to sell** → **Ind AS 41** (unconditional → P&L when receivable; conditional → when conditions met)
- → Transactions with government that are normal trading (sales) → Ind AS 115

⑦ Cross-standard links

- → **Ind AS 16 · 28** — grant may reduce PPE cost
- → **Ind AS 109** — FV of government loans; Ind AS 101 exception: below-market loans at transition use previous-GAAP carrying amount
- → **Ind AS 8** — repayment = change in estimate
- → **Ind AS 37** — conditions breached → repayment obligation may be a provision / contingent liability
- → **Ind AS 12** — taxability of grant / deferred income creates TDs
- → **Ind AS 7** — separate presentation of grant receipts

⑧ Disclosures 39

- → Policy and presentation method adopted
- → Nature and extent of grants recognised; other assistance benefited from
- → **Unfulfilled conditions** and other **contingencies**

⑨ AAA bridge

Area	Requirement
SA 250	Compliance with grant conditions (laws & regulations / scheme terms)
SA 500 / 505	Sanction letters, utilisation certificates, confirmations
SA 540	Judgement on "reasonable assurance"; useful life for release pattern
SA 570	Large repayment on breach may affect going concern

> ✍ **Write in exam**
> "As per para 12 of Ind AS 20, government grants shall be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate. Since the land is granted on condition that a factory is constructed, the grant is recognised over the life of the factory building (para 18)."